

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 21-17

OCEAN NETWORK EXPRESS PTE. LTD. AND OCEAN NETWORK
EXPRESS (NORTH AMERICA), INC. - POSSIBLE VIOLATIONS OF 46
U.S.C. § 41102(C)

**MOTION OF RESPONDENT OCEAN NETWORK EXPRESS, PTE. LTD
AND PUTATIVE RESPONDENT OCEAN NETWORK EXPRESS
(NORTH AMERICA), INC. TO REQUIRE THE BUREAU OF ENFORCEMENT
TO INDIVIDUALLY IDENTIFY RESPONDENTS AND
TO REDUCE TIME FOR REPLY**

Pursuant to Federal Maritime Commission (“FMC”) Rule 71, 46 C.F.R.502.71, Respondent Ocean Network Express, PTE. LTD. (“ONE”) and putative Respondent Ocean Network Express (North America), Inc. (“ONE NA”) move for an order that the FMC’s Bureau of Enforcement (“BOE”) in the future identify each entity individually in any claims, allegations, statements, and subsequent pleadings, including but not limited to discovery requests, briefs, and findings of fact. ONE and ONE NA also move that the time for BOE to reply be shortened to one or two days.

I. MOTION TO REQUIRE INDIVIDUAL NAMES

This is not just a trivial matter of nomenclature. Rather, BOE’s insistence on conflating ONE and ONE NA as ONE is both confusing and a violation of due process. The Order of Investigation and Hearing (“Order”) identifies each of ONE and ONE NA as a separate respondent and asks that each be found in violation of the Shipping Act and that each be subject to cease-and-desist orders and civil penalties. As already evidenced, BOE’s practice of using the combined term “ONE” to include ONE NA as well has caused substantial confusion and additional effort and cost (legal fees) on behalf of ONE. As just a few examples, it remains

unclear whether Allegations 23, 26, 27 of the Order are intended to assert that both ONE and ONE NA are ocean common carriers or rather that at least one of them is an ocean common carrier. Similar examples abound. This conflation requires substantial effort by counsel for ONE and for ONE NA to separate out which of them is subject to a specific allegation, and to respond at greater length to address each of them, as was required in the Answer.

ONE and ONE NA are separately incorporated entities and BOE does not assert that the Federal Maritime Commission (“FMC”) should pierce the corporate veil and treat them as a single entity. Moreover, even if the FMC did pierce the corporate veil, that would not entitle for the FMC to treat the controlled subsidiary (ONE NA) as responsible for actions taken by the controlling parent entity, but only to attribute actions taken by ONE NA to ONE. Due process and fundamental fairness require that each entity separately charged with violations of the Shipping Act be informed what specific allegations, claims, statements, and questions are addressed to each of them.¹ Furthermore, separation of the individual respondents will create a cleaner record for the court of appeals, should judicial review become necessary.

This request is similar to and supported by the “Order Requiring that each Complainant Individually be Identified with each Claim or Allegation” in *Holt Cargo Systems, Inc. v. Delaware River Port Authority*, 22 SRR 1582 (ALJ 2000). In that case, the Presiding Officer required that the individual Complainants (there were three) be identified with respect to each claim or allegation that any of the Complainants made against Respondents, rather than be generically identified as “Holt.” Respondents there asserted that it was “the fundamental right of both [Respondents] to know, as we approach a trial on the merits, who is making an allegation

¹ It is not an appropriate alternative to assume that every use of “ONE” applies both to ONE and ONE NA. Apart from maintaining the confusion already present, such an assumption would be contrary to fact in many cases and thus fail to comply with FMC Rule 63, 46 C.F.R. 502.63.

that they are liable to that complainant.” *Id.* If a respondent has a fundamental right to know who is claiming against it, *a fortiori* a respondent has a fundamental right to be apprised of what is being alleged against it specifically, rather than just respondents as a whole, especially where the stake is not merely damages, but a penal (punitive) imposition of civil penalties.

The Presiding Officer further explained that while a broader brush may have been appropriate at earlier stages, “a finer brush must be employed to delineate each complainant and the relevant activities vis-à-vis each respondent.” *Id.* Finally, he stated that “due process dictates” that pleadings identify which entity did what to which other entity.² Accordingly, the Presiding Officer ordered that “[i]n all future filings in this proceeding, complainants . . . are directed to identify by the use of specific names individually each complainant asserting each specific claim or allegation.” *Id.*

Counsel for ONE and ONE NA have conferred with BOE as to the subject of this motion and BOE states that it takes no position but reserves its right to reply.

II. MOTION TO REDUCE TIME TO REPLY

Initial Discovery Requests are due in three days – March 18, 2022. If, as expected, BOE continues to use the conflated term “ONE,” the burden of response for ONE and ONE NA will be greatly increased. In some cases, reasonable reply may be impossible. Accordingly, ONE and ONE NA expect to object to any discovery that conflates the two separate entities (for reasons akin to those stated above in the Motion for Individual Names). Responding in one (or two) days should not impose any hardship on BOE. They were informed of the motion early this morning, and the

² The Presiding Officer also noted that the court in a parallel proceeding had taken a similar step to maintain clarity. *Id.*

argument is scarcely two pages, with citation. There is no reason that BOE cannot, in a day or two, determine its position and draft a reply in the next two days.

BOE opposes the motion to reduce its time.

ONE and ONE NA therefore respectfully request the issuance of an Order to require BOE to identify, with clarity and specificity, to whom each allegation is addressed and that the Presiding Officer reduce the time for BOE's reply.

DATED: March 15, 2022

Respectfully submitted,

/s/ Rebecca A. Fenneman
Eric C. Jeffrey
D.C. Bar: No: 1722599
Rebecca A. Fenneman
D.C. Bar: No: 252585
Jeffrey/Fenneman Law + Strategy, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005
Telephone: 202-904-2301
Email: EJeffrey@JeffreyFenneman.com
RFenneman@JeffreyFenneman.com

**ATTORNEYS FOR OCEAN NETWORK
EXPRESS PTE. LTD.**

/s/ Rebecca A. Fenneman
Eric C. Jeffrey
D.C. Bar: No: 1722599
Rebecca A. Fenneman
D.C. Bar: No: 252585
Jeffrey/Fenneman Law + Strategy, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005
Telephone: 202-904-2301
Email: EJeffrey@JeffreyFenneman.com
RFenneman@JeffreyFenneman.com

**ATTORNEYS FOR OCEAN NETWORK
EXPRESS (NORTH AMERICA), INC.**

CERTIFICATE OF SERVICE

I certify that on the 15th day of March, 2022, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

ATTORNEYS FOR THE BUREAU OF ENFORCEMENT:

Benjamin K. Trogdon, Director
BTrogdon@fmc.gov

Brenda Doty, Trial Attorney
Bdoty@fmc.gov

Theron Korsak, Trial Attorney
TKorsak@fmc.gov

Bureau of Enforcement
Federal Maritime Commission
800 N. Capitol St., N.W.
Washington D.C. 20573
(202) 523-5783

/s/ *Rebecca A. Fenneman*
Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
Tel: (202) 904-2301
Jeffrey/Fenneman Law + Strategy, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005